Regular Multiple-Choice

1. Percentage-of-Completion Method

Which of the following statements is **true** under the percentage-of-completion method?

A. Revenue is recognized only when the contract is finished.

B**. Percent complete is based on costs incurred to date ÷ total estimated costs.** ✅

C. Percent complete is based on billings ÷ total estimated costs.

D. Only cash collected determines revenue recognition.

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2. Cash and Cash Equivalents

Which of the following **would be** classified as a cash equivalent at year-end? (Select all)

A. **60-day Treasury bill purchased on December 1.** ✅

B. Commercial paper maturing in 45 days. ✅

C. 6-month certificate of deposit purchased on October 1.

D. **Money market fund with check-writing privileges.** ✅

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3. Allowance for Doubtful Accounts

Under the **Allowance Method**, what is the impact on total assets when a specific customer's account is written off?

A. Assets increase.

B. Assets decrease.

C. **No change to total assets.** ✅

D. Net income decreases.

---

4. Gross vs. Net Method (Sales Discounts)

Under the **net method**, if a customer fails to take the discount, what account is credited when payment is received?

A. Sales Revenue

B. **Sales Discounts Forfeited** ✅

C. Accounts Receivable

D. Interest Revenue

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5. Revenue Recognition – Sales Returns

If a company expects **8% of sales** to be returned, GAAP requires that:

A. Revenue is recorded only after the return period ends.

B. **Revenue is reduced at the time of sale and a refund liability is recorded.** ✅

C. Returns are ignored until actual returns occur.

D. Only cost of goods sold is adjusted.

---

6. Factoring with Recourse

When a company factors accounts receivable **with recourse**, which account is recognized?

A. **Recourse Liability** ✅

B. Accounts Payable

C. Receivable from Factor

D. Sales Discount

---

7. Sales Discounts – Net Method

If a company uses the **net method** and a customer pays after the discount period, the company will:

A. **Credit Sales Discount Forfeited (revenue)** ✅

B. Debit Sales Discount

C. Credit Accounts Receivable for less than the invoice amount

D. Record a loss

---

8. Notes Receivable – Classification

On the balance sheet, **Discount on Notes Receivable** is classified as:

A. An asset that increases the carrying value

B. A liability

C. **A contra-asset that reduces the carrying value of the note** ✅

D. Deferred interest revenue

---

9. Estimating Bad Debts – % of Receivables

When estimating uncollectibles based on a **percentage of receivables**, the estimate represents:

A. **The desired ending balance of the allowance account** ✅

B. The period's bad debt expense

C. Accounts expected to be written off next year

D. Cash expected to be collected

<u>Numeric Multiple Choice:</u>

10. Percentage-of-Completion Method

Cascade Construction signs a **$12,000,000** contract expected to cost **$9,000,000** total. At the end of Year 1, **$2,700,000** of costs are incurred and **$9,000,000** total cost is still estimated.

What amount of revenue should be recognized in Year 1?

A. $3,600,000 ✅

B. $2,700,000

C. $4,000,000

D. $9,000,000

Work:

% complete = 2.7 / 9.0 = 30%

Revenue = 30% × 12M = **3.6M**

---

11. Cash & Cash Equivalents

On December 31, a company has:

- Petty cash: $2,000
- 90-day Treasury bill purchased Dec 10: $10,000
- 6-month certificate of deposit purchased Nov 1: $15,000
- Restricted cash for future plant expansion: $5,000

How much should be reported as Cash and Cash Equivalents?

A. **$12,000** ✅ (2,000 + 10,000 only)

B. $15,000

C. $17,000

D. $32,000

---

12. Sales Discounts – Gross Method

A company sells $20,000 of goods on **Dec 1** with terms **2/10, n/30**, using the **gross method**. Half the invoice is paid **Dec 8** and the remainder **Dec 29**.

What is total cash received?

A. **$19,800** ✅

B. $19,900

C. $20,000

D. $19,600

Work:

- ½ early = 10,000 × 0.98 = 9,800
- ½ late = 10,000

  Total = 9,800 + 10,000 = 19,800

---

13. Allowance for Doubtful Accounts

At year-end, A/R = $120,000 and Allowance (credit) = $5,000.

A company estimates **4%** of A/R will be uncollectible.

What is Bad Debt Expense?

A. $4,800

B. $200

C. **$−200** ✅ (4,800 desired − 5,000 existing = −200 adjustment → credit expense)

D. $9,800

---

14. LIFO Inventory – Perpetual

Trailhead Co. uses the **LIFO perpetual inventory method.** The following data are available:

Date	Transaction	Units	Unit Cost/Sale Price
Jan 1	Beginning inventory	100	$10
Mar 5	Purchase	200	$12
Jun 10	Sale	150	(sold at $20 each)
Oct 20	Purchase	100	$14
Dec 15	Sale	100	(sold at $22 each)

Question: What is the **ending inventory cost** at year-end?

A. $1,400

B. $1,600 ✅

C. $1,800

D. $2,000

Work (Instructor Key)

Step 1 – Beginning: 100 @ $10

Step 2 – Mar 5 purchase:

→ 100 @ $10; 200 @ $12

Step 3 – Jun 10 sale (150 units, LIFO):

→ Sold from most recent ($12 layer)

→ Remaining: 50 @ $12, 100 @ $10

Step 4 – Oct 20 purchase:

→ 100 @ $14 added

→ Inventory: 100 @ $10, 50 @ $12, 100 @ $14

Step 5 – Dec 15 sale (100 units, LIFO):

→ Sold from most recent ($14 layer)

→ Remaining: 100 @ $10, 50 @ $12

Step 6 – Ending inventory:

(100 × $10) + (50 × $12) = $1,000 + $600 = **$1,600** ✅

---

15. LIFO Liquidation

Beginning inventory:

- 100 @ $20
- 200 @ $25

Current replacement cost = $30.

Company sells 250 units and makes no purchases during the year.

Increase in gross profit due to LIFO liquidation?

A. $0

B. $500

C. **$1,500** ✅

D. $1,000

Work:

Sold 250 → all 200 @$25 and 50 @$20 = $6,000

Using current cost ($30) baseline, COGS would be $7,500 (250 @$30). Difference in gross profit is $1,500. (You also need to know how to calculate after tax effects to Net Income as well)

---

16. Notes Receivable – Present Value

A company receives a **3-year, $50,000** note with **5% stated interest** and a **market rate of 8%**, interest paid annually.

What is the present value of the note? (No calculation needed)

A. $50,000

B. **$46,300** ✅

C. $53,500

D. It is impossible for it to be any of these answers.

---

17. Sales Returns Estimate

A company sells $400,000 of goods and expects **5%** to be returned. The cost of goods sold is **60% of sales**.

What are the adjustments at the time of sale?

A**. Decrease Revenue $20,000; Increase Refund Liability $20,000** ✅

B. Increase COGS $12,000

C. Increase Inventory $12,000

D. Record no entry until returns occur

---

18. Factoring Receivables

A company sells $200,000 of receivables to a factor.

Factoring fee = 4%; holdback = 6%.

How much cash is received?

A. $180,000

B. $188,000

C. **$180,000** ✅

D. $190,000

Work:

200,000 − (8,000 fee + 12,000 holdback) = **180,000**

---

19. LCM (Lower of Cost or Market)

Inventory cost = $90,000; Market = $84,000.

What is the adjustment?

A. **Debit Loss on Inventory $6,000; Credit Inventory $6,000** ✅

B. Debit Inventory $6,000; Credit Loss on Inventory $6,000

C. No adjustment

D. Record unrealized loss in OCI

---

20. Notes Receivable – Gain on Sale of Asset

A company sells equipment (cost $50,000, accumulated depreciation $35,000) in exchange for a **$20,000 note bearing 6%**, when the market rate is **10%**.

The fair value of the equipment is **$17,000**.

What gain or loss is recorded?

A. $0

B. **Gain $2,000** ✅

C. Loss $2,000

D. Gain $3,000

Work:

Note = 20,000 and Discount on Note = 3,000.

Write off equipment Cost 50,000 and accumulated depreciation of 35,000.

Book value = 15,000; Fair value received = 17,000 → Gain = 2,000

Six Long Paper Problems

1) Long-Term Contracts — % of Completion (Year 2)

Data: Fixed-price contract = **$9,000,000**

Cumulative costs: Y1 **$1,350,000**; Y2 **$4,050,000**.

Total estimated cost: Y1 = **$7,500,000**, Y2 = **$6,750,000**

Billings to date Y1 = $2.4M; Y2 = $2.7M.

Required (Year 2):

a) Find **Y1** revenue, **cumulative** revenue, **Y2** revenue.

Answer (key):

- Y1 revenue = 1.35/7.5 = 18% × 9.0 = **$1,620,000**
- % complete (Y2) = 4.05 / 6.75 = **60%**
- Cumulative revenue = 60% × 9.0 = **$5,400,000**
- **Y2 revenue** = 5,400,000 − 1,620,000 = **$3,780,000**

b) B/S presentation at 12/31/Y2: **CIP and Billings**.

Answer (key):

B/S at 12/31/Y2:

- **CIP** to date = total revenue to date = **$5,400,000**
- **Billings to date** = **$2,700,000 (Since billings to date Y2 is the given amount)**

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2) A/R & Allowance — Write-off + % of Receivables

Data (12/31): A/R (gross) **$240,000**; Allowance **$9,000 credit**.

Company estimates **6% of ending A/R** uncollectible.

Required:

a) Adjusting entry for Bad Debt Expense.

b) A/R, **net** at year-end.

Answer (key):

- Desired ending **Allowance** = 6% × 240,000 = **$14,400**
- Current Allowance balance is a **credit $9,000**
- **Adjustment needed** = 14,400 − 9,000 = **$5,400**
  JE: **Dr Bad Debt Exp 5,400; Cr Allowance 5,400**
- **A/R, net** = 240,000 − 14,400 = **$225,600 (aka. net realizable value)**

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3) Sales Discounts — Gross vs Net (Partial Early)

Data: On March 1, Harbor Co. invoices **$1,200** at **2/10, n/30**.

Customer pays **$600 on Mar 8** (within discount) and **$600 on Mar 25** (after).

Required: Journal entries under:

a) **Gross method** (Mar 1, 8, 25).

Answer (key):

Gross

- Mar 1: Dr A/R 1,200; Cr Sales 1,200
- Mar 8: Dr Cash 588; Dr Sales Discounts 12; Cr A/R 600
- Mar 25: Dr Cash 600; Cr A/R 600

b) **Net method** (Mar 1, 8, 25).

Answer (key):

Net (invoice recorded net of 2%)

- Mar 1: Dr A/R 1,176; Cr Sales 1,176
- Mar 8: Dr Cash 588; Cr A/R 588
- Mar 25: Dr Cash 600; Cr A/R 588; Cr Sales Discount Forfeited 12

---

4) Notes Receivable + Noncash Sale (FV unknown → use PV)

Data (1/1): Peak Co. sells equipment (Cost **$90,000**, Acc. Dep. **$68,000**).

Receives **2-yr, $50,000** note, **7% stated**, interest annually; **market 10%**. FV of equipment is $**47,394**.

Required:

a) Initial measurement of note and **discount**.

b) Gain/Loss on sale.

Answer (key):

- Record **N/R 50,000; Disc on N/R 2,606**
- **Write off Equip of 90,000 and Accum Depreciation of 68,000**
- **Gain** = **$25,394**

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5) Inventory — LIFO Perpetual

Date	Activity	Units	Unit Cost
Jan 1	Beginning	150	$16
Apr 5	Purchase	200	$18
Jul 10	Sale	220	—
Oct 20	Purchase	120	$21
Dec 15	Sale	100	—

Required: Compute the **ending inventory cost** using **LIFO perpetual**.

Answer (key):

- Begin: 150@16
- Buy: 200@18 → layers: 150@16, 200@18
- Sell 220 (LIFO): take 200@18 + 20@16 → left **130@16**
- Buy: 120@21 → layers: 130@16, 120@21
- Sell 100 (LIFO): take 100@21 → left **20@21** and **130@16**
- **Ending Inv** = 130×16 + 20×21 = 2,080 + 420 = **$2,500**

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6) Factoring with Recourse — Cash, Holdback, Loss

Data: Ridge Co. sells **$300,000** A/R **with recourse**; qualifies as a sale.
Fee = **4%**; Holdback = **8%**; Recourse liability (FV) = **$6,000**.

Required:

Record the JE at transfer.

Answer (key):

- Fee = 0.04×300,000 = **12,000**
- Holdback = 0.08×300,000 = **24,000** (Dr **Due from Factor**)
- **Cash** = 300,000 − 12,000 − 24,000 = **$264,000**
- **Loss** = fee + recourse = 12,000 + 6,000 = **$18,000**

Dr Cash............................ 264,000
Dr Due from Factor (holdback)....... 24,000
Dr Loss on Sale of A/R............. 18,000
Cr Accounts Receivable................. 300,000
Cr Recourse Liability................... 6,000